

Sarala Development & Microfinance Private Limited

September 16, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	20.00	CARE BB-; Stable	Downgraded from CARE BB; Negative

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The downgrade in the rating assigned to the long-term bank facilities of Sarala Development & Microfinance Private Limited (SDMPL) reflects the weakness in its business profile with decline in scale of operations, challenges in resource mobilisation, and weak asset quality. These factors have adversely affected the company's profitability over past two years. The company's capitalisation profile, though got impacted over the past two years due to the losses, remains adequate for the current scale of operations and also to support the near-to-medium term growth plans. The company's ability to profitably grow its business, by maintaining a healthy asset quality, and maintain adequate capital buffers will be key monitorable.

SDMPL's business profile remains weak as reflected by the significant decline in assets under management (AUM), negligible disbursements in FY26 and Q1FY27, and elevated credit costs amid stress in the microfinance sector. Consequently, the company reported a net loss of ₹22.14 crore in FY26 compared to a net loss of ₹5.13 crore in FY25. The loss was primarily driven by significant write-offs in the on-book legacy portfolio amounting to ₹21.89 crore. Asset quality indicators remained under pressure, with gross non-performing asset (GNPA) increasing to 5.35% as on March 31, 2026 from 4.58% a year earlier. However, asset quality improved in Q1FY27, with GNPA and net non-performing asset (NNPA) moderating to 4.51% and 0.43%, respectively. Supported by lower credit costs, the company reported a net profit of ₹0.66 crore in Q1FY27.

The rating continues to draw comfort from SDMPL's adequate capitalisation for the current scale of operations, with a Capital adequacy ratio (CAR) of 87.87% as on March 31, 2026 (68.44% as on March 31, 2025), and low gearing of 0.28x against 0.55x a year earlier. The company's tangible net worth (TNW) declined to ₹18.96 crore as on March 31, 2026, from ₹40.60 crore as on March 31, 2025, owing to the losses incurred during the year, and improved marginally to ₹19.63 crore as on June 30, 2026. The reduction in leverage following debt repayments supports the liquidity profile.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating actions/upgrade:

- Significant scale up in operations with sustained improvement in asset quality and profitability.

Negative factors: Factors that could individually or collectively lead to negative rating actions/downgrade:

- Persistent weakness in asset quality and profitability.
- Significant deterioration in capitalisation and/or liquidity.

Analytical approach:

Standalone

Outlook: Stable

The stable outlook reflects CareEdge Ratings' expectation that the company will maintain adequate capitalisation despite near term pressures on profitability and asset quality.

Detailed description of key rating drivers

Key weaknesses

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Deterioration of asset quality leading to weakening of earning profile

The company's asset quality indicators remained under pressure despite a write-off of ₹21.89 crore. The GNPA ratio increased to 5.35% as on March 31, 2026 from 4.58% a year earlier. However, asset quality showed improvement in Q1FY27, with GNPA moderating to 4.51%.

In FY26, the company reported a net loss of ₹22.14 crore, resulting in a return on average total assets (RoTA) of -46.80% (PY: -6.19%) and a return on average tangible net worth (RoNW) of -74.34% (PY: -11.93%). The deterioration in profitability was driven by elevated credit costs and margin compression. The net interest margin (NIM) declined sharply to 0.31% in FY26 from 3.75% in FY25, while the credit cost increased to 10.68% from 5.75% over the same period.

Geographical concentration

The company started its operations in 2013, as on June 30, 2026, the company operated in five states, West Bengal, Bihar, Assam, Jharkhand, and Sikkim, through its 79 branches, serving 45,421 borrowers. The company's operations are highly concentrated, with 94% of its business in three states. West Bengal makes up the largest share at 43%, followed by Bihar at 35% and Sikkim at 16%. The remaining portfolio is distributed between Assam and Jharkhand. The concentration is expected to continue given management does not intend to enter new state in the near future.

Concentrated funding

As on June 30, 2026, the company's outstanding borrowings stood at ₹4.16 crore, down from ₹5.34 crore as on March 31, 2026, and ₹22.17 crore as on March 31, 2025. This consistent decline is primarily attributed to challenges in mobilising funds from external sources, further compounded by ongoing stress in the microfinance institutions (MFI) sector. As on June 30, 2026, the company's borrowings are solely in the form of term loans. Going forward, the company's ability to raise funds at competitive interest rates would remain critical for growth prospects

Key strength

Comfortable capitalisation for the current scale of operation

SDMPL's capitalisation profile remains adequate with CRAR of 87.87% as on March 2026 further improved to 95.92% as of June 2026. This strength is supported by continuously improving gearing ratio which stood at 0.28x as on March 31, 2026, and declined to 0.21x as on June 30, 2026. However, the entity's TNW declined to ₹19.63 crore in June 2026, from ₹40.60 crore in March 2025 considering loss reported in this period. The company also acts as a BC partner for three lenders and its outstanding BC portfolio stood at ₹104 crore as on March 31, 2026 and ₹87.59 crore as on June 30, 2026. AUM to net worth increased to 6.41x as on March 31, 2026 (March 31, 2025: 5.51).

Liquidity: Adequate

The asset liability maturity (ALM) profile remains adequate considering the short-term nature of its loan assets with a maximum tenure of two years. Reduction in borrowing base further supported the liquidity profile. Per the ALM profile as on June 30, 2026, there was positive cumulative mismatch across all time buckets. SDMPL had a cash and bank balance of ₹4.58 crore, as on June 30, 2026, against debt obligations (including interest) of ₹2.45 crore over the next six months.

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Microfinance institutions

Originally incorporated as Unnati Trading and Fincon Private Limited in April 1992, the company was renamed as Sarala Development & Microfinance Private Limited (SDMPL) in 2014. In FY10, the company acquired the microfinance loan portfolio of Sarala Women Welfare Society, a not-for-profit entity. SDMPL, an non-banking finance company- microfinance institution (NBFC-MFI), operates on the joint liability group (JLG) model, with each group comprising three to 10 women borrowers and an average ticket size of ₹30,000 to ₹50,000. In March 2026, the company introduced a new product, unsecured individual loans, which had an AUM of ₹0.22 crore as on June 30, 2026.

As on June 30, 2026, the company operated across 32 districts in five states, namely West Bengal, Bihar, Assam, Jharkhand, and Sikkim, through its network of 79 branches and had an AUM of ₹104 crore, which includes the portfolio managed under business correspondent arrangements with three partner entities.

SDMPL - Standalone

Brief Financials (₹ crore)	31-03-2025 (A)	31-03-2026 (A)	30-06-2026 (UA)
Total income	27.49	12.01	3.01
Profit after tax (PAT)	-5.13	-22.14	0.66
Assets under management (AUM)	223.77	121.60	104.41
On-book gearing (x)	0.55	0.28	0.21
AUM / tangible net-worth (TNW) (x)	5.51	6.41	5.32
Gross non-performing assets (NPA) / gross stage 3 (%)	4.58	5.35	4.51
Return on managed assets (ROMA) (%)	-2.32	-11.95	1.61
Capital adequacy ratio (CAR) (%)	68.44	87.87	95.92

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA:

Not applicable

Any other information:

Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Term Loan	RBI	Simple	-	-	-	30-04-2027	20.00	CARE BB-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	20.00	CARE BB-; Stable	-	1)CARE BB; Negative (17-Sep-25)	1)CARE BB+; Stable (05-Jul-24)	1)CARE BB+; Stable (12-Jul-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender detailsTo view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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